STRATEGY PLANNING TOOLS AND MODELS



THE BUSINESS
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SUPER GUIDE:

STRATEGY PLANNING TOOLS AND MODELS

BY DANIEL PEREIRA



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INTRODUCTION

Is it possible to run a business without a strategic plan? Sure, it is possible, but there are no guarantees that the business will prosper — quite the contrary, the lack of planning may even be the cause of it not succeeding.

Strategic planning is crucial for an organization to know where it is heading in the long run. By laying out and following strategic plans, a business learns its strengths and weaknesses and can gather information on its position among competitors. This strategic plan gives the companies the information they need to move forward.

But what exactly is strategic planning? Why is it so crucial to an organization, and are there models to observe? We cover all this and more below.

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WHAT IS STRATEGIC PLANNING?

Strategic planning, also known as strategic management, is the process of establishing specific long-term business goals and defining the process to achieve those goals. It involves looking into the organization's future to identify its objectives before creating plans, implementing them, and evaluating their results.

Strategic planning involves goals that run within three to five years or longer, that is, an organization's mid-to-long-term goals. In this way, it differs from short-term business planning, which focuses on short-term goals that revolve around a budget.

Strategic planning involves remodeling the organizational structure of businesses to best suit their goals. It also consists of allocating resources to the long-term priorities of an organization. It is also important to note that, in strategic planning, all parts of an organization are considered.

Strategic planning focuses on integrating all of the organization's departments (i.e., marketing and finances, accounting, and human resources) and then making a plan for every department to accomplish strategic goals. All departments in an organization must work together to reach its goals.

Strategic planning rose to popularity in the 1950s and 1960s and, after a few bumps along its history, currently remains

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relevant in the modern corporate world. The fruit of strategic planning is the organization's strategic plan, which can be followed by employees, partners, investors, and even customers. Businesses carry out the process of strategic planning periodically to update their plans, taking into account changes in the industry, legal and regulatory conditions, and other market changes that occur over time.



STRATEGIC VS. TACTICAL PLANNING

Planning without having a specific goal in mind isn't planning at all. Similarly, having a goal in mind without consciously planning for it is futile. This is why strategic and tactical planning is essential.

Strategic planning intends to achieve strategic plans, while tactical planning is the short-term step to turn that intent into reality. Strategic planning involves laying the foundation of a business's operations and generating a general idea of how to reach a goal. It is setting out the long-term goals the organization desires to achieve.

On the other hand, tactical planning occurs after the strategic plan has been highlighted. It outlines an organization's steps

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to achieve those future goals.

A perfect blend of strategic and tactical planning is required in the organizational planning process. Strategic and tactical planning differ in the values they offer to the planning process, and it is essential to note the roles they both play in the process.

Strategy	Tactics
Strategy is the intent	Tactics is putting intent o action
Determines what needs fo be done and why	Determines how it must be done
Involves intentional and focused high-level thinking that defines the direction to take	Involves concrete actions and steps to implementation inline with the direction
Aligned with the geals, objectives	Aligned with the strateqy
Requires focus on defining the future	Requires day-to-day execution
It is difficult to change, though entirely possible	It is very easy to change
Needs outward perspective	Needs inward view
Typically formed by leaders within the erganisation	Typically defined and executed by managers
Primary focus is on effectiveness, doing the right thing	Primary focus is on efficiency, doing it right with less resources, fime and money
Difficult to measure and evaluate	Easy to evaluate through well-defined metrics
Strategic planning dees not include execution details	Tactical plans includes timelines and implementation
Strategy is intangible	Tactics are tangible

Sales Recruitment

Strategy: The company desires to develop repeatable evaluation criteria for hiring salespersons in the sales recruitment field;

Tactics: In tactics, the company narrows down the specific qualities they desire in a salesperson, creates a manuscript of viable interview questions that highlight those qualities, and trains recruiters to conduct interviews based on their standards.

Marketing

Strategy: While integrating a business's sales and marketing

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processes, the organization may propose improving sales and marketing alignment as its strategy;

Tactics: If this is the case, the organization's tactics would be to define the qualities of a sales-qualified lead (SQL) so that the marketing department can focus on their sales reps. It would also encourage collaboration between departments regarding sales content creation and holding general meetings after every sales campaign.

Technological Infrastructure

Strategy: When it comes to the organization's tech infrastructure, it may introduce more information-communication technology to gear the company towards more tech-driven sales operations;

Tactics: In this case, the tactic to reach that goal would be to adopt a customer relationship manager, introduce conversational technology for improving sales calls, and make computer and Internet resources readily available for virtual sales.

Together, strategies and tactics are the keys an organization employs to turn its plans into reality.

STRATEGIC PLANNING MODEL VS STRATEGIC FRAMEWORKS

The difference between strategic planning frameworks and strategic planning models lies in the functions they perform. The strategic planning model maps out how an organization plans to implement a strategy for achieving its mission. A strategic planning model can be described as a tool used at the beginning of the strategic planning process.

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On the other hand, the strategic planning framework highlights how an organization will approach its strategic plan. Strategic planning frameworks are often visual and detail an organization's activities in its strategic plan.

Below are clear distinctions between strategic planning models and frameworks:

Strategic Planning Models provide structure
A strategic planning model highlights the overall structure an organization applies to its strategic planning process. It needs to be more detailed and roughly describes various organizational components and how they can interact to help the organization achieve its mission.

A strategic planning model describes the essential elements of a strategy; what do various departments do? How do they fit together? And in what order do they move?

Strategic Planning Frameworks provide principles
Unlike a strategic planning model, a strategic planning framework characterizes an organization's approach to reaching its strategic plan. Strategic planning frameworks show how the organization can efficiently achieve its objectives by working through its short-term goals.

What to choose first: the strategic planning model or framework
From the definitions of the strategic planning model and framework, it's clear that a strategic planning model comes first. Every organization has goals and missions that differ from each other, so strategic models and frameworks are different.

However, it is essential to note that selecting a strategic planning model before moving on to cement a framework is crucial to the planning process. An organization should first

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have its strategic plan's basic structure ready, rather than provide the context that drives it along.

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WHY IS STRATEGIC PLANNING IMPORTANT?

Strategic planning offers a rigid goal that can lead a business to success. Without direction and organizational goals to work toward, a company might as well be working toward failure.

Strategic planning is essential for an organization to know the current state of its operations and the heights it can attain in the long run. An organizational roadmap is needed for operations to run smoothly, and a strategic plan provides that. Discussed below are some of the reasons why it is essential to implement strategic planning.

THE MISSION

The genesis of strategic planning is a clear mission that forms the framework of an organization's purpose and direction. An organization's mission statement outlines who it is, what it does, and where it wants to go.

THE GOALS

As mentioned earlier, strategic planning involves highlighting the goals of an organization. An organization needs measurable goals so business leaders and everyone reading the strategy can determine how well the business performs against objectives and the overall mission. Most strategic

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planning follows the SMART (specific, measurable, achievable, realistic, and time-bound) goal model or other objectively measurable goal models.

ALIGNMENT WITH SHORT-TERM GOALS

In tandem with tactical planning, strategic planning carries a business to its goal. Short-term, tactical business planning is a crucial part of strategic planning, as it helps business owners with everyday decision-making.

EVALUATION AND REVISION

Strategic planning is done periodically to allow business owners time to evaluate progress and weigh it against the strategic plan. This way, they can make changes and adjustments based on changing market conditions.

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DO YOU NEED A STRATEGIC PLANNING MODEL?

No startup or mega-corporation is without a mission. If a business runs without goals, it is headed toward failure.

A strategic planning model gives an organization a clear and rigid path that leaders and employees can follow. It entails that all departments would know what common goal to achieve and gives them all a target to meet. A strategic planning model also means that what goes well for an organization can be looked into periodically.

It means that the organization will be aware of its strengths and weaknesses and will be able to take measures to strengthen the weaknesses and improve the strengths. It highlights the organization's position in the market and its place among competitors.

All these highlights and points show that strategic planning is essential in business.

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WHAT ARE THE STEPS IN THE STRATEGIC PLANNING PROCESS?

Depending on the type of business and the level of granularity necessary, there are many different approaches to strategic planning. To create a solid strategic plan, follow these steps:



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ASSESS THE BUSINESS ENVIRONMENT

A detailed analysis of your current position is required for strategic planning. A proper analysis of the business environment in which the company would function at the first stage.

This assessment is required to collect data on market trends and customer behaviors.

Examining the business environment frequently entails keeping an eye out for unusual changes. It also involves creative methods to capitalize on your company's position in the market. Completing a study of your rivals and their recent behavior may also be helpful.

EVALUATE YOUR COMPANY'S POSITION

Your organization's position in the industry should be considered as the next step in your strategic planning. This step entails evaluating the company’s potential, appeal, and capabilities.

The SWOT analysis, which stands for strengths, weaknesses, opportunities, and threats, is a popular tool for evaluating a business. SWOT enables you to comprehend the essential competencies of your firm so that you can create a plan that makes the most sense.

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Strengths
Strength refers to the distinctive value proposition of your business that sets you apart from your competitors. It could be anything, such as effective cost-cutting techniques, a well-liked product, or a massive sum of money.

Weaknesses
Weaknesses are areas where your company underperforms or lacks capacity and abilities. Strategic planning helps develop plans to reduce and avoid flaws so that your organization can succeed.

Opportunities
Opportunities are any steps that a company can take to grow. Partnerships, new market trends, and innovation can all present opportunities.

Threats
Threats can be defined as anything that can harm the objectives of the company's business. Unfavorable policies, challenging economic conditions, and intense competition are all examples of some primary threats.

Your company's goals and objectives are formally summarized in your mission statement. It outlines the ideals of your business, your goals, and the steps you'll take to get there.

Your organization stands out from the competition thanks to your mission statement, which describes how the business will make decisions.

Take into account how your mission statement can:

- Be specific about your business;
- Be precise and succinct;

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- Encourage investors and staff. The mission statement is typically written for customers or other stakeholders, but can also help with personnel management.

ADJUST OR CREATE YOUR VISION STATEMENT

A company's vision statement outlines its long-term objectives and intentions.

Your vision statement emphasizes the organization's founder's final goal for the firm, which is why you created it in the first place.

Motivating staff members and other stakeholders is your vision statement. An effective vision statement is:

- Describe your company’s values and cultures;
- Extremely succinct, usually not longer than a few phrases;
- A challenging but achievable objective.

DETERMINE YOUR STRATEGIC GOALS

It is critical to define your strategic goals so that everyone involved in the company knows the importance of their contributions. It is also essential that everyone in the company can work to make the firm successful.

Projects like digitization to assist consumers or a change in

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leadership structure might be considered strategic goals.

Given that assigning deadlines to your goals will increase productivity, think about making your strategic goals specific and measurable.

DEVELOP A PLAN

The primary goal of strategic planning is to outline the measures the company and its personnel must follow to accomplish predetermined objectives.

Your project must be tactical and take all potential outcomes into account. Focus on organizing your goals in order of importance so that you can finish your most important tasks first.

A sound strategic plan ensures that every business division is involved, has its own goals, and that every employee contributes to the organization's overall objectives.

IMPLEMENT AND MONITOR YOUR PLAN

All company plans must be implemented and monitored. Then, you can let the company's key decision-makers and all affected personnel know about your idea.

The plan can also be distributed to all departments, along with a list of their unique responsibilities and KPIs. Consider feedback systems and decide how you'll record important information.

Speaking with specific workers or stakeholders can also help

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monitor the strategy's implementation and determine whether changes need to be made.

ANALYZE RESULTS AND MODIFY YOUR PLAN

Track the success of your plan using the information you received from your feedback. Evaluating their effectiveness will take a while after implementing strategic plans. After the test, gather all the data and analyze it thoroughly.

It would help if you adapted your plan to better support the organization's objectives in light of new knowledge and reality.

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CONTENTS OF A STRATEGIC PLAN

A strategic plan may contain several components, depending on their uses. Here are a few typical items found in a strategic plan:

EXECUTIVE SUMMARY

A document's goal is explained in a concise, understandable executive summary. All of the information in the document is also included in the executive summary.

It primarily serves to quickly summarize critical elements of a business plan for stakeholders and investors, such as the company description, market analysis, and financial data.

SIGNATURE PAGE

This page is intended for executives to sign to show their approval.

COMPANY INFORMATION

Relevant information about the company is provided in the company information section. It can draw attention to the company's value proposition, positioning in the market, and other pertinent information.

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VISION AND MISSION STATEMENTS

These are statements that sum up the company's values and objectives. You can also expand on the core values to highlight your organization's beliefs.

INDUSTRY ANALYSIS

A solid strategic plan includes details of your industry study and conclusions. They can serve as a helpful reminder to those involved in the plan of any competition information or trends that are particularly helpful when thinking about the plan's actions.

PLAN OF ACTION

A plan of action outlines your plan for achieving all goals thoroughly and openly.

SCORECARD

A visual tool like your scorecard can make it easier for stakeholders to monitor your progress.

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ELEMENTS OF STRATEGIC PLANNING

A strategic plan is beneficial for the majority of managers. Making a plan enables the management (and the team) to take a step back and consider where they are, where they want to go, and the most practical way to get there. Daily tasks are accomplished without a plan, but frequently need a sense of importance and purpose.

A strategic plan has seven essential components in total. These seven components will get you started, even though the plan frequently includes many more.

7 ELEMENTS OF A STRATEGIC PLAN



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VISION STATEMENT

A vision statement outlines how you picture your company. As a result, it ought to be consistently examined and must convey that dream in a motivating way to your staff and clients. A consistent examination will ensure it reflects how you envision your business.

A vision statement is a company's strategic plan roadmap, so only minimal alterations are accommodated. Vision statements are not always irrevocable. You can go back and make any necessary revisions.

An example of a vision statement stated by Nike is:

"Bring inspiration and innovation to every athlete* in the world.
(*If you have a body, you are an athlete)."

In the past, nobody gave sneakers any attention. They were merely one more item of athletic gear. However, Nike foresaw a future in which they would provide goods that inspired and motivated people.

Please take note of the way they treat everyone like an athlete. It's witty and welcoming.

MISSION STATEMENT

A mission statement explains what you do right now, whereas a vision statement describes how you see your firm in the eyes of your stakeholders and customers. Frequently, it explains what you do, for whom, and how.

You should be able to realize your vision by concentrating

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daily on your task. Your options may become more or less limited depending on your mission statement.

Your company's mission statement should inform everything you do. A mission statement perfectly explains the "what," "who," and "why" of your business. The best mission statements serve as a company's operating manual.

An example of a mission statement stated by JetBlue is: "To inspire humanity — both in the air and on the ground." JetBlue's mission statement demonstrated that not all mission statements need to be customized to a company's work.

CORE VALUES

Your core values describe your thoughts and actions. You can accomplish your goal and mission thanks to the principles you hold.

Patagonia companies list their core values as follows;

- Build the best product: Our criteria for the best product rest on function, repairability, and durability. Saving the planet also involves making the best product. Among the most direct ways, we can limit ecological impacts is with goods that last for generations or can be recycled, so the materials in them remain in use;
- Cause no unnecessary harm: We know our business activity, from lighting stores to dyeing shirts, is part of the problem. We work steadily to change our business practices and share what we've learned. But we recognize that this is not enough. We seek not only to do less harm, but better.
- Use business to protect nature: The challenges we face as a society require leadership. We embrace risk

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and act to protect and restore the stability, integrity, and beauty of the web of life. Once we identify a problem, we work;

- Not bound by convention: Our success and much of the fun lie in developing new ways to do things.

Patagonia's company ideals go beyond a few sentimental quotes for the "About Us" page. Chouinard Equipment, the company that Yvon Chouinard founded, discovered that their pitons were destroying the surrounding rock. Because of this destruction, they came up with aluminum chocks, an eco-friendly solution.

SWOT ANALYSIS

Businesses can conduct a situational analysis of their market position using a SWOT analysis. SWOT stands for "strengths, weaknesses, opportunities, and threats." It enables you to recognize and identify your company's crucial elements, developments, and competitors.

A company's ability to draw in local clients can be a strength, while its difficulty expanding into a non-local clientele might be a weakness. A chance for this business could arise from a regional rival who has connections to clients outside the area with financial difficulties.

If the other company exits the crisis, it still poses a threat. A threat also exists if a rival attempts to increase the size of its consumer base.

LONG-TERM GOALS

Long-term goals are declarations that go beyond the vision and spell out how you intend to get there. This collection of

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objectives typically begins three years in the future and lasts for about five years, directly relating to the mission and vision statements.

YEARLY OBJECTIVES

Each long-term goal should include a few one-year objectives that further your aims. Every plan should be as SMART — Specific, Measurable, Achievable, Realistic, and Time-Based — as feasible.

Following the creation of your yearly objectives, you could further divide each into short-term goals, which specify the actions and goals for the following three months to help you reach your annual goals. Your action plans are how you intend to carry out your short-term objectives.

ACTION PLANS

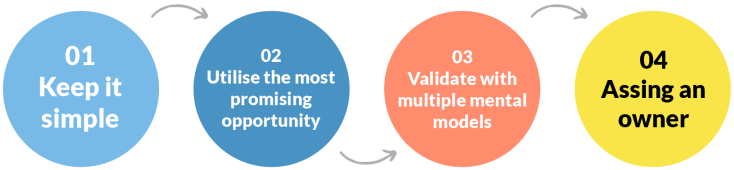
Every goal should have a strategy outlining how to accomplish it. The level of detail depends on the latitude within which your management and team will operate. The flexibility for individuals who adhere to the plan decreases with the amount of detail offered.

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BASIC PRINCIPLES OF AN EFFECTIVE STRATEGY

Planning without a clear strategy is just keeping busy without knowing what you are trying to achieve. Similarly, a strong strategy lacking a plan is just an intention without a way to achieve the desired impact. It entails thinking without doing, direction without a plan, and a desire to accomplish goals without making the necessary sacrifices.

PRINCIPLES OF EFFECTIVE STRATEGY



When developing an effective strategy, most concentrate on the result rather than the necessary steps. Without a firm grasp of the procedure, you risk falling victim to analysis paralysis and missing the chance to give your business an advantage. Follow these four fundamental guidelines to develop an effective strategy:

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KEEP IT SIMPLE

Being simple and straightforward is one of the essential steps in achieving your goals and strategies. Keeping your strategy precise, easy to remember, and utilized as a compass every step of the journey.

In addition, make your strategy realistic, practical, and implementable within the organization's context.

Using Occam's razor mental model, you can create straightforward methods with fewer unproven assumptions.

UTILIZE THE MOST PROMISING OPPORTUNITY

To utilize the most promising opportunity, you need a logical understanding and reasoning of your business to form a competitive perspective with another company or industry and focus efforts to make the best decisions while taking risks and challenges.

Taking note of the first principles, you can dissect the objective into its fundamental components, formulate insightful queries, distinguish between facts and presumptions, get to the core of the matter, and establish a viewpoint from the bottom up. Developing a new strategy by considering the needs of the future is a great way to think.

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VALIDATE WITH MULTIPLE MENTAL MODELS

Temptations may come in during business to achieve short-term goals, which have immediate effects, but focusing on long-term goals that produce long-term profits and gains is more beneficial.

Second-order thinking is an excellent mental model to help us step outside of our comfort zones and make decisions that will benefit us in the long run.

Another beneficial thinking strategy is using the inversion mental model to look for the opposite of what we want. The reverse questioning strategy can help us gain a better perspective and more valuable responses to the initial question by asking questions about our presumptions and point of view. For example, look deeper and uncover why this strategy may fail rather than focusing on how it may succeed.

In his book The Great Mental Models, Shane Parish discusses the value of mental models.

He said, "There is no system that can prepare us for all risks. Factors of chance introduce a level of complexity that is not entirely predictable, but drawing on a repertoire of mental models can help us minimize risk by understanding the forces at play. Likely consequences don’t have to be a mystery."

You will be in a better position to develop a plan that has the potential to have the intended impact if you can identify failure patterns.

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ASSIGN AN OWNER

Setting strategy into practice could initially seem like a significant resource commitment, but it should strengthen the organization once implemented.

The strength of a good plan comes from the conviction that it will work, the teamwork required to carry it out, and the assumption of accountability for the results.

A strategy is a dream that never comes true without accountability. This wish can come true if the proper owner supports the cause.

In The Effective Executive, Peter Drucker emphasizes the value of an owner. "No decision has been made unless someone has been given the task and responsibility of carrying it out in a precise manner. There are only good intentions up until that point.”

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WHO DOES STRATEGIC PLANNING IN A BUSINESS?

A committee often oversees the process of strategic planning. Planning experts advise the committee to include members from all company divisions and to operate openly and transparently, with all information recorded from beginning to end.

The committee researches and accumulates data to comprehend the organization's current situation and future-related variables. The committee should seek input and criticism to support or refute its data evaluation.

The committee may decide to employ one of the numerous approaches or strategic frameworks created to assist in this process. These approaches guide the committee through several techniques, like analysis or evaluation, the design of a strategy, and the articulation and communication of the actions required to move the company toward its strategic vision.

As the strategic plan is implemented, the committee develops benchmarks that will allow the organization to assess how well it is doing concerning its objectives. The executives responsible for ensuring that benchmarking activities occur at scheduled intervals and that those goals are reached should also be identified as part of the planning process.

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HOW OFTEN SHOULD STRATEGIC PLANNING BE DONE?

There are no standardized requirements for determining the frequency of a strategic planning cycle. There are, however, common approaches.

QUARTERLY REVIEWS

It is typically easy to review planning process assumptions once a quarter and compare metrics to the plan to determine how things are going.

ANNUAL REVIEWS

Business leaders can evaluate KPIs for the past four quarters and make educated changes to the strategy during an annual review.

Timing should be adaptable and suited to a company's requirements. For instance, a startup in a fast-paced business might review its strategic plan monthly. A seasoned company in a firmly established sector may decide to review the plan less frequently.

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TYPES OF STRATEGIC PLANS

Activities for strategic planning often concentrate on one of three areas: business, corporate, or functional. They split into the following groups:

BUSINESS

An organization's competitive elements are the main emphasis of a business-centric strategic plan, which also creates chances for growth. These plans use a goal-making process that includes assessing the external business environment, formulating objectives, and allocating financial, human, and technological resources to achieve those objectives.

CORPORATE

A corporate-centric plan outlines the organization's operations. It focuses on structuring and coordinating senior leadership, corporate policies, and procedures to achieve desired goals. For instance, the management of research and development skunk works can be set up to operate flexibly and as needed. Compared to the management teams in HR or finance, it would seem different.

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FUNCTIONAL

Function-centric strategic plans are integrated into corporate-level strategies and offer a detailed analysis of particular divisions or segments, such as marketing, HR, finance, and development. While establishing budgets and resource allocations, operational plans strongly emphasize policy and process, including security and compliance.

A strategic plan will typically include components from the three focus areas. However, depending on the needs and type of business, the strategy may tilt more toward one core area.

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WHAT IS STRATEGIC MANAGEMENT?

Strategic management is a practice used by organizations most successful at matching their activities with their strategic plans. An organization's strategic plan's purpose and vision statements are supported by continuous procedures established as part of the strategic management process.

Strategy execution entails setting benchmarks, allocating financial and human resources, and exercising leadership to achieve predetermined objectives. The strategy's execution is strategic management. Consequently, strategic management is also known as strategy execution.

An approach that is prescriptive or descriptive may be used in strategic management. A prescriptive approach concentrates on the creation of strategies. It frequently employs an analytical strategy to consider risks and possibilities, such as SWOT analysis or balanced scorecards. A descriptive method relies on broad ideas or guidelines and concentrates on how to use strategies.

Strategic management and planning are similar enough that they are occasionally used interchangeably.

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WHAT IS A STRATEGY MAP?

A strategy map is a planning tool or template that assists stakeholders in seeing a company's entire strategy as one connected graphic. These visual representations effectively comprehend and assess the causal connections between the many components of a company's strategy.

Although there are many different ways to design a map, all strategy maps concentrate on the same four key business areas or categories: finances, customers, internal business processes (IBPs), and learning and growth. These four categories allow for the organization of goals and the establishment of dependencies or linkages between them.

A strategy map might have a financial goal of cost reduction and an IBP goal of increased operational effectiveness. These two objectives are interconnected and can assist stakeholders in comprehending how initiatives like streamlining operating procedures can save business expenses and fulfill two strategic plan requirements.

An action plan and set goals that can be aligned and carried through can be created from overall goals with a strategy map.

The identification of less evident strategic difficulties can also be aided by strategy mapping. For instance, increasing staff knowledge might be one learning and growth objective, but this could also reveal unforeseen challenges with employee

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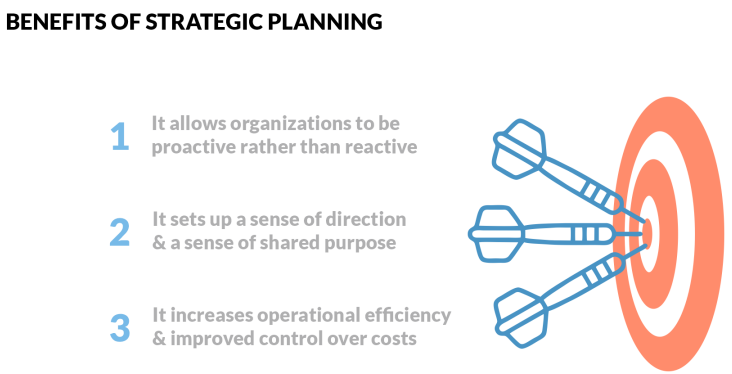
retention and compensation, impacting cost-cutting goals.

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BENEFITS OF STRATEGIC PLANNING

Due to the unstable business climate, many businesses use reactive rather than proactive methods. Reactive methods may necessitate a significant investment of time and resources to execute, yet they are often only effective in the short term. Strategic planning enables businesses to take a more long-term approach to problem-solving and proactive planning. They allow a business to exert influence rather than react to circumstances.

The following are some of the main benefits of strategic planning:



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IT ENCOURAGES PREPAREDNESS

Planning entails actively pursuing specific objectives. As a result, businesses can plan because they know their activities and expectations throughout the entire business year. Companies that use strategic planning well can anticipate unfavorable circumstances and plan. Additionally, it enables businesses to adjust quickly to new changes, promoting adaptation and flexibility.

IT HELPS SET SPECIFIC TARGETS

An organization's objectives are highlighted in a strategic plan. Short-term objectives are developed from long-term company goals in a sound strategic plan.

As a result, employees are always aware of what to do. Tasks in strategic plans often have deadlines, which fosters a sense of urgency.

IT BOOSTS PRODUCTIVITY

Planning encourages resourcefulness and operational effectiveness. By decreasing trial and error and avoiding wasting valuable time and resources, strategic planning aids businesses in streamlining their operations. A sound strategic plan simplifies important and unimportant tasks, enabling management to direct resources and energies where they are most needed, increasing productivity.

IT INCREASES PROFITABILITY

Comprehensive market research is encouraged by strategic planning. Strategic planning gives a business a crucial

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understanding of the market and its customers, enabling it to create profitable sales and marketing strategies. Sales targets are more easily met since employees know their roles and duties and how their work affects the business, thanks to key performance indicators (KPIs) and organizational alignment.

IT PROLONGS A COMPANY'S LIFESPAN

Companies benefit from strategic planning because it allows them to look forward. The management team can plan more efficiently, and stability is improved. A solid strategic plan also enables businesses to make wiser decisions. Because they are more concentrated on the goals they have established and the advantages they have understood are possible, a corporation with clear objectives and a game plan is less inclined to chase diversions.

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STRATEGIC PLANNING MODELS

According to Porter's model, the essence of strategy is deciding what not to do. An organization's long-term goals and priorities are established through strategic planning. Businesses can evaluate their strengths and limitations, decide what not to do, and decide which opportunities should be explored using strategic planning. An adequately defined strategy in sales operations will aid your company in making plans, establishing realistic targets, and achieving those goals.

These objectives are described in a written document called a strategic plan. It is essential to distinguish between strategic and tactical planning because they are different.

An organization uses a strategic planning model to take its strategy and develop a plan to put it into practice to enhance operations and more effectively achieve its objectives. Strategic planning is concerned with long-term goals, whereas tactical planning is concerned with immediate concerns. A strategic planning model's definition is included in its name, making it simple to understand.

A strategic planning paradigm has numerous advantages. One benefit is that it offers a precise roadmap the company follows and makes available to all its employees. It is effective for all departments to collaborate on a single project.

Another benefit is that it also increases your understanding of

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what functions well within the firm, which is another benefit. It gives you a broad sense of your rivals and how you can set yourself apart. No matter how far in the future your goal is — one year from now, five years from now, ten years from now — you can't achieve it if no one knows what it is or how you intend to get there.

Here are a few strategic planning models.

BASIC MODEL

The fundamental strategic planning model is excellent for developing your company's vision, mission, business objectives, and values. This model assists you in outlining the specific steps required to achieve your goals, monitoring progress to keep everyone on track, and addressing issues as they arise. The basic model is the best if this is your first strategic planning session. Later, you can add other models to it to adjust or rewrite your business strategy.

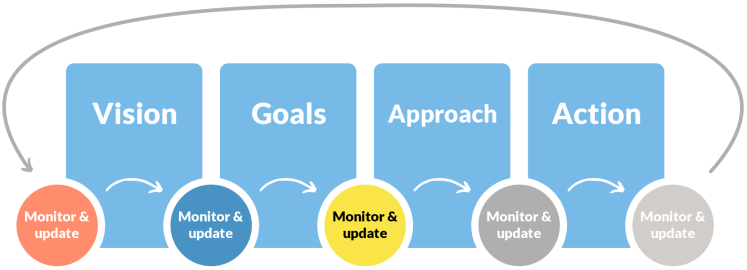
Businesses that can benefit significantly from this model are:

- Small companies or organizations;
- Companies with little to no experience with strategic planning;
- Organizations with limited funds.

The primary strategic planning model is ideal for creating a company's vision, mission, business objectives, and values. This model focuses on developing the company's vision and mission statement, setting goals, outlining specific steps to achieve them, and tracking progress to keep everyone on track and address issues as they arise.

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THE BASIC MODEL



ALIGNMENT MODEL

The Alignment Model aims to align your business and IT strategies with the company's strategic goals.

This model (SAM) is one of the most commonly used. It consists of strategic fit and functional integration. That is, the model integrates business and information technology strategies. This model requires identifying an organization's key goals and then determining how to achieve those goals. The plan must maximize the process.

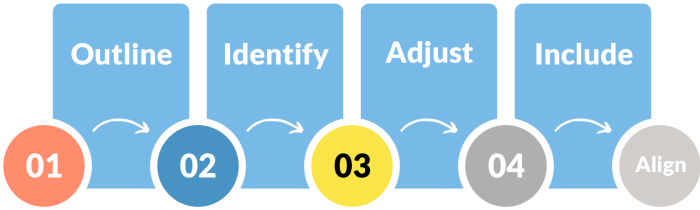
In this model, you will be guided by four perspectives, which are:

- Strategy execution, in which the business strategy drives the model;
- Technology potential that sees business strategy as the driving force, but with an IT strategy to back it up;
- The competitive potential is concerned with the use of emerging IT capabilities to develop new products and services;

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- Finally, there is an exceptional service concerned with developing the best IT system for the organization.

THE ALIGNMENT MODEL



THE BALANCED SCORECARD

The balanced scorecard (BSC) consists of clear communications about what has been accomplished. The model is designed to balance strategy and financial metrics. It prioritizes, measures, and monitors progress while aligning the work with the overall strategy.

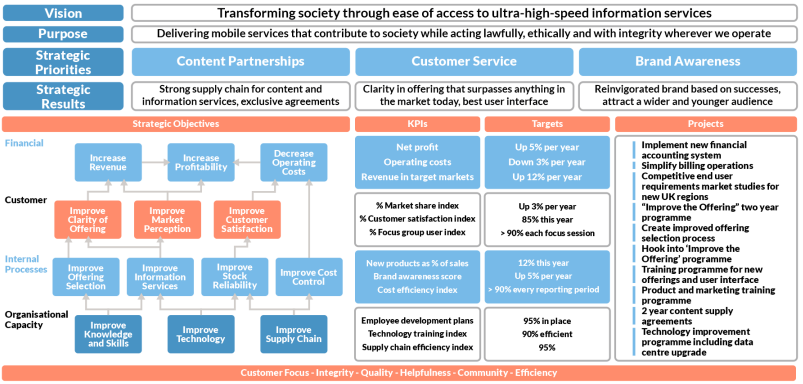
One of the benefits of using BSC is that it allows you to see the connections between different aspects of your strategic plans. It is one of the best-known strategic planning models, designed to provide managers with a comprehensive overview of their companies' operations within short time frames. It considers financial and operational metrics that provide valuable context about a company's performance. In the past, it is performing now and is likely to continue to do so in the future.

The model concerns four crucial factors: time, quality, performance, service, and cost. Using BSC requires you to

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investigate four different aspects of your organization. You should also evaluate the performance of your stakeholders or customers based on their efficiency and quality.

Then there's organizational capacity, which considers your personnel, infrastructure, technology, culture, and anything else necessary to achieve your goals. Every improvement the business hopes to make involves a specific goal with clearly defined metrics and figures to measure each one's success. The organization's plan follows the Balanced Scorecard model when taken as a whole.



Example of the Balanced Scorecard

Imagine a B2B SaaS business that sells construction management systems. It has trouble keeping customers, which is hurting its bottom line. The organization's tech stack is restricting growth and innovation, and the company's sales representatives are working with a small number of highly qualified leads. The comprehensive strategic plan in this situation, created using this paradigm, may resemble this:

- The business establishes a broad financial objective of increasing revenue by 10% annually;
- On the way there, it hopes to increase its customer

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retention rate by 5% annually by investing in a more robust customer support infrastructure;

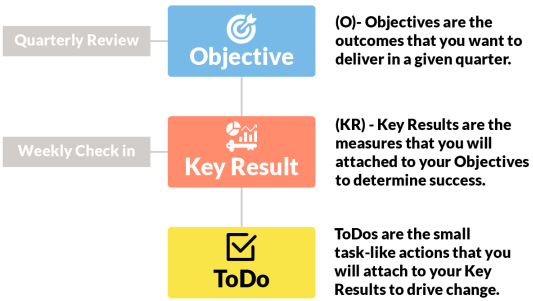
- Management hopes to increase the company's lead generation figures by 20% annually by redesigning the onboarding procedure for its presales team.

These elements listed address the significant flaws in the organization's customer perception, internal processes, financial situations, and organizational capacity.

THE OKR STRATEGIC PLANNING MODEL

This model (objective and critical results) was made famous by Google and Intel more recently. It focuses on "OKRs" that are set and reviewed by all organizational management levels quarterly. The OKR strategic planning model resembles the diagram below.

THE OKR MODEL



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The structural elements of the OKRs strategic model

The structural element of the OKRs strategy mode consists of the following:

- Objectives;
- Key results;
- To-dos.

Objectives

These describe the outcome you want in the current quarter (OKRs are designed to evolve each quarter).

Key Results

These are specific measures that quantify your progress toward your objective.

To-Dos

These small "tasks" correspond to each of your key results and, when completed, should move you closer to achieving the result needed.

The governance elements of the OKRs strategic model

The elements are two, which are:

- Quarterly Review;
- Weekly Check-Ins.

Quarterly Review

The key result should have a weekly check-in that includes your confidence level in achieving that OKR, remediation steps, and general progress updates.

Weekly Check-Ins

This involves conducting formal quarterly reviews for each objective. In these reviews, the OKR is scored (usually from 0

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to 1), and a decision is made for the next quarter.

Example of the Objectives and Key Results
Consider an imaginary business that develops curriculum and plans schedules for academic institutions that offer higher education. The business decides that one of its goals is to increase its participation in the California community college system.

However, what will it take to make that happen? How will the business determine whether it is successful? In this situation, the corporate leadership would arrive there by identifying three to five desired results. These might be:

- 30 institutions providing qualified lead generation;
- Demonstrations at ten colleges;
- Deals are being closed at five campuses.

As a result of those findings, measures would be taken to update sales messaging, define standards for lead quality, and train top-of-the-funnel representatives on how to use them effectively.

Utilizing this technique typically means repeating that procedure two to four more times, producing a significant crop of comprehensive, actionable, ambitious, quantifiable, and realistic plans.

BLUE OCEAN STRATEGY

This strategy describes an uncontested market space for an unknown industry or innovation. It aims to make competition irrelevant and create and capture new demand.

In a Red ocean strategy, the primary goal is to create a

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marginally better product in an existing market to capture market shares from competitors.

Things are different with the Blue ocean strategy. Instead of looking to compete in a cut-throat competition of marginal improvement to capture market share, the Blue ocean strategy seeks to create new market space. In this new marketplace, the rewards of an entire ocean of uncontested market space are reaped.

This strategy only sometimes means creating a new, cutting-edge product. Instead, it advocates capturing non-customers of your industry from adjacent markets.

THEORY OF CHANGE (TOC)

The Theory of Change (TOC) technique explains all the critical and ample set-ups essential to achieve long-term results. This technique entails planning in backward steps. Starting from long-term targets, they move on to the intermediate targets and, finally, the early-term changes essential to instigate the preferred modification.

Theory of Change portrays attention to detail. Theory of Change is plotted to incentivize succinct results at all levels of the change procedure. It, therefore, assists the forces involved in evaluating the viability of achieving targets that were possibly plus-minus determined.

Hence, it advances the progress of rational long-term results admissible to the forces involved. When creating short-term transposes, the following factors will be applied:

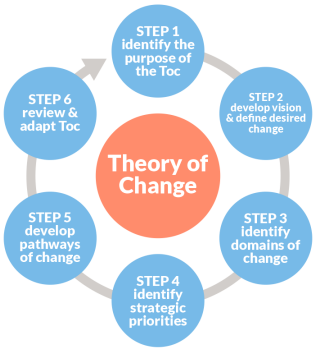
- Identifying long-term goals: Identify the forces involved in making a precise sample of the criteria essential to achieve the long-term goals;

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- Backward mapping: Augmenting the long-term incentive plans and mapping backward continues until bodywork explains the planning grounds;
- Identify the assumptions: A plausible strategy is only as good as its assumptions. TOC recognizes beliefs to corroborate harmony for the future and its planning;
- Identify the interventions: This explains the conditions the initiative must meet to achieve positive and substantial results. When interventions are identified, it describes how the forces involved get their results;
- TOC supports the development of indicators: This is the level at which specifics are included when replacing the framework. It concentrated on estimating the execution and efficacy of the strategy;
- TOC explains the reasoning behind your stipulated thoughts and decisions. It allows participants to find everyday language to tell the story of their actions and gives them confidence in its logic.

When the TOC is unmitigated, it can be a powerful instrument to express the complications of the strategy.

STEPS IN THE THEORY OF CHANGE PROCESS ADAPTED TO M4SDI



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Example of the Theory of Change
Let us take an organization that creates HR payroll software into consideration. The organization has had recent setbacks, and the senior management of the organization is incompetent. There is a rally to do better; they have forecasted great results and achievements that would terminate the setbacks. Even after the forecast, there is still a need for feasible tasks and projects to assist in bringing these great results to fruition.

The Theory of change model is a viable solution. For example, the organization focuses on increasing the portion of the market it controls. The Senior management discusses the criteria to bring this to fruition and its importance. The criteria can be launching into a new market while still operating in the current market.

The organization then deduces that they have to intrigue small businesses since they focus on mid-scale enterprises. The focus on mid-scale enterprises means they do not command substantial funds to launch large scale.
The organization now tries to provide precise strategies to solve its overly ambitious predicament. The organization may subsidize its prices to make its product affordable to small-scale enterprises. Hence, launching into that market space. New user acquisition and customer retention are the points of reference for the plan's fruition.

When this is initiated, senior management expounds on the relevance and functions of the goals, metrics, and plans.

THE HOSHIN KANRI MODEL

The management process here aligns both vertically and horizontally. It involves breaking your objectives into smaller

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ones and, eventually, into projects and tasks. Under this model, everyone is responsible for fulfilling the business strategy.

The concept is that if you can break down and align your organization's strategy from top to bottom, everyone in the company will align with your shared goals. Everyone will know exactly how to achieve these goals. So, you are working together as an organization to accomplish a big dream.

Hoshin Planning entails effective communication and socially progressive policies that promote teamwork, harmony, and job accountability.

This model has seven key steps:

- Start with a vision. Why do you exist? Establishing a clear organizational vision is vital;
- Develop 3-5 years of breakthrough objectives;
- Develop Annual objectives;
- Deploy Annual objectives;
- Implement Annual objectives;
- Undertake regular progress reviews (monthly, quarterly);
- Undertake regular Annual reviews.

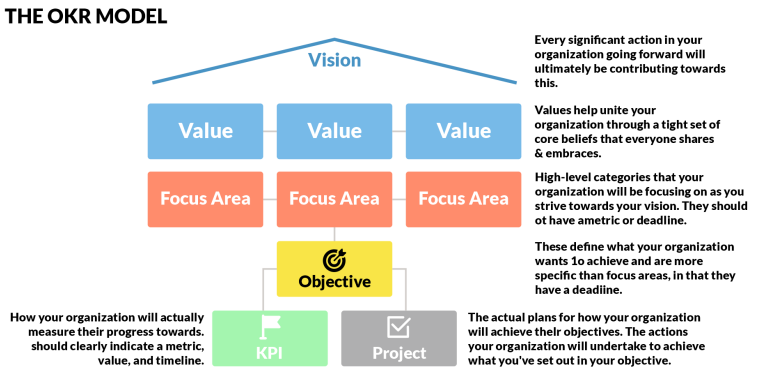
The first three key steps can be cited as the "catch ball" process.

The catch-ball process means translating objectives into strategies for the next level while creating alignment between organizational levels.

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It involves sharing ideas between the management and the rest of the team.

Then they throw it back to the senior team management, insinuating that the senior team sends its ideas to the middle team, expecting feedback and ideas in return.
Senior management interacts with middle management to achieve strategy execution.



The structural elements of the Hoshin Kanri strategic model:

- **Vision:** Describes an ambition, dream, or hope. It represents the picture of an ideal future in a period;
- **3-5 years breakthrough objectives:** This element describes achieving the vision. It respects the master plan for creating value over the next 3-5 years;
- **Develop Annual objectives:** These will define how to progress, covering priorities, goals, budgets, and projects;
- **Deploy Annual objectives:** These goals cover milestones, tasks, resources, timelines, and outcomes. Deploy to teams, develop plans, and set targets. Get

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all groups involved.

The governance elements of the Hoshin Kanri strategic model

- **Progress Review:** This should happen weekly, monthly, and quarterly. Review weekly by the work team, monthly by a management team, and quarterly by owners and investors;

- **Annual Performance Review:** This entails reflection and learning, i.e., reviewing performance and reflecting on achievement and shortcomings. And finally, learn from them.

Example of Hoshin Planning

Let us consider an industry that focuses on constructing commercial screen printing machines.

Small-scale retail and printing operations have been the industry's forte. Studies have shown that an industry that focuses sales on just that market would not profit for long. Hence, no continual development of the industry.

The senior management agrees to the belligerent channeling of sales to large-scale industries. But before they can initiate that goal, they must ensure the entire industry's personnel buy the idea and are committed to its fruition.

They begin initiating additional targets down the industry's management pecking order with this provisional goal. A significant part of their entire process is to rehabilitate their products. This rehabilitation will make adjustments to the demands of large-scale industries compared to before.

The industry conveys its ideas and decisions through the management hierarchy. This system allows everyone to pitch in their ideas, solutions, and thoughts.

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The product group receives the senior management's ideas and suggests that the rehabilitation plan is not feasible given the timeframe. The senior management now tries to modify its projections before revisiting the rehabilitation plans.

The industry starts to set accurate, precise, and realistic targets that everyone agrees with when all forces involved agree on a possible timeframe.

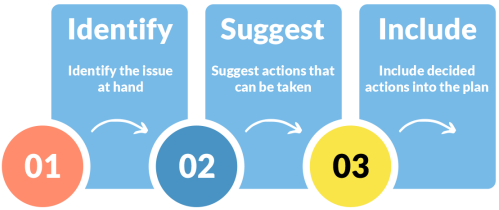
ISSUE-BASED STRATEGIC PLANNING MODEL

Contemporary and subsequent plans guide this model. This model uses tools and analysis to understand what the issues are. It is short-term (6-12 months), usually through a grouping and structure analysis approach.

It allows you to design programs to address the issues in an organization. There is generally an emphasis on establishing plans and actions that teams and stakeholders can implement. And also, building budgetary and adjustment criteria allows the organization to make better decisions.

With this, your organization or team can dig deeper into the issues in the organization. This includes identifying business problems and coming up with critical solutions to solve them. Identify the issues and develop plans the organization will implement to solve its problems.

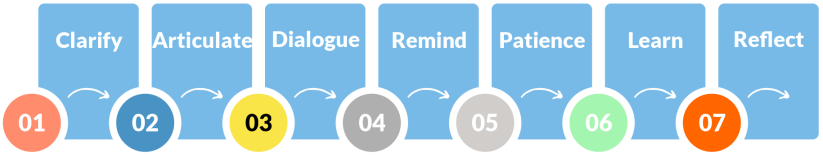
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ORGANIC MODEL OF STRATEGIC PLANNING

In strategic planning, the organic model helps a company follow a path that prioritizes its values and vision while working towards achieving its set goals and objectives. The organic model sees an organization looking inward for practical solutions to stay ahead of the competition. The descriptions mentioned above are, however, on the periphery.

THE ORGANIC MODEL



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Strategic planning should involve principles and activities, irrespective of their types or forms. Activities include long-term strategy, goal setting, advancement communication among stakeholders, progress measuring, and progress monitoring.
It is a blueprint or template showing an organization how it will move from where it is right now and safely land at its preferred destination. Some specified milestones are then set out as objectives for this period.

Though seemingly theoretical and flexible, the organic strategic planning model helps lay the foundation. The foundation for long-term execution concerns a company's service delivery, operations, and customer relations. The organic strategic planning model involves several iterations and testing for each milestone.

This aids validated learning that can help stakeholders continually decide what goes, what stays, and what works or advances the company's vision and values.

Stakeholders clarify vision and values
For this model to be effective and efficient, it is crucial to maintain continual communication among team members and stakeholders. Achieving a company’s goals can be challenging when there is disparity among employees. If proper clarification of the vision and values is not appropriately put in place or drilled, it can affect the company's unity and, consequently, its progress.

Stakeholders create personal action plans
In creating personal action plans, stakeholders can operate towards the company's vision through the division of labor.

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Each team member will be responsible for communicating the company's strategic plan to internal and external stakeholders. This plan ensures that everyone within the company is on the same wavelength and has a shared motivation for achieving the company's mission.

Stakeholders report results of action plans
A strategy to keep the team attentive to the objective is essential to achieving the company's goals. Stakeholders must submit a report and take utmost responsibility for their action plan section. This approach fosters teamwork and accountability among stakeholders, while similarly providing a feedback loop that improves the quality of results and the speed of progress.

The company must consistently monitor and review the action plan to maintain momentum. This consistent monitoring will ensure that issues are immediately addressed when they arise. This strategy ultimately results in a competitive advantage in the marketplace.

REAL-TIME STRATEGIC PLANNING MODEL

The real-time strategic planning model may be considered unorthodox, but has a stand-out feature. This feature consists of a strategy that is quick and adaptable in addressing potential crises immediately. For companies, it is common for well-detailed plans with a long-term outlook to become obsolete within three to five years.

These plans are usually the result of swift changes occurring

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in the business environment. Real-time strategic planning can then be referred to as a flexible system used primarily by organizations that must be more reactive to a rapidly changing work environment and perform strategic planning in real time.



Real-time strategic planning can be categorized into three levels, namely:

i) Organizational Strategy:
This level requires an outline of the company's vision, value proposition, market competitors, market share, and trends. An understanding or study of market trends and close competitors is necessary for a company to attain its strategic goals and objectives.

ii) Programmatic Strategy:
Only external research is conducted on this strategy. It is pertinent for the study to cover several areas, including opportunities, threats, and competitive advantages. This strategy will help a company learn and identify new opportunities to help it fast-track toward achieving its objectives.

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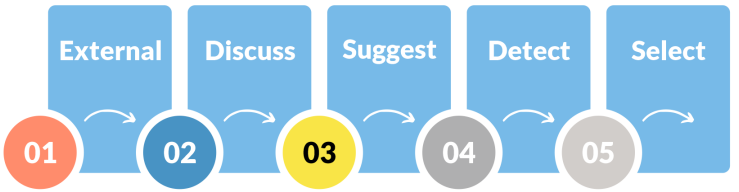
iii) Operational Strategy:
The operational level, unlike programmatic strategy, focuses on internal processes, personnel, and systems in developing a plan that addresses inner strengths and weaknesses. This process's expected outcome or goal is to strengthen the company's workforce.

SCENARIO MODEL

The scenario model represents a contingency plan for companies that need to anticipate change or possibilities. It helps mitigate potential risks while similarly creating new opportunities and objectives. These changes include regulatory policy changes, rising prices, supply chain disruptions, or new market players.

When planning for the long term, companies need to take the time to consider the multitude of external factors that are capable of derailing their plans.

THE SCENARIO MODEL



Scenario planning helps examine the various elements in a business environment, evaluating these external factors for possibility and impact. It allows room for exploration and

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flexibility. The developments from this examination will help the final decision-making process reach informed decisions. An analysis of varying cases is a simple description of scenario planning.

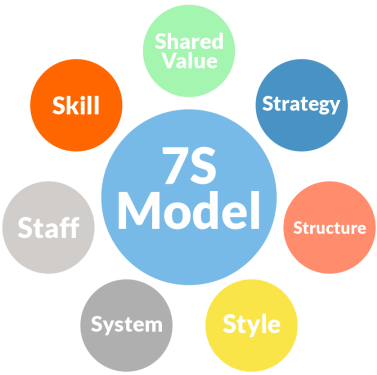
Scenario planning is the ideal framework for a company that has experienced unforeseen circumstances. These circumstances include regulatory policy changes, rising prices, supply chain disruptions, new market players, or other unexpected past changes. Similar frameworks (like the SWOT acronym for "Strengths, Weaknesses, Opportunities, and Threats," or PEST for "Political, Economic, Sociocultural, and Technological") are deemed helpful in developing scenarios.

Scenario planning can be used by personnel and within organizations. It is most applicable for organizational strategic planning.

7S MODEL

McKinsey's consultants developed the 7s strategic business planning model, which emphasizes the importance of curating an organization’s vital internal elements to achieve a good strategy.

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Structure

Strategy in the 7s Model refers to components of your plan and how they work together to make your strategy achieve its pending goal(s). Your structure may start with a "motto" and then run a course through values, vision statements, focus areas, and the number of goals to be achieved.

Studies have shown that a concrete strategic structure aids the strategy's effectiveness toward achieving its goals. Structure helps managers and business owners view their competitive environment from an elevated point of view, thus inevitably influencing their decisions and emergent strategies.

Strategy

This strategy is a carefully thought-out plan or course of action highlighting an organization's mission and vision. It's the brain of a good strategic plan.

A versatile and cutting-edge strategy that would appeal to different customers should be used to utilize this.

Honesty should be the best policy when implementing said

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strategy. And above all, it should give customers a bit of insight into an organization, its vision, and its mission to achieve estimated goals.

System
The technical infrastructure that facilitates the daily workflow of a strategy is put into play. The system ensures versatility and ensures the smooth running of a plan put into play.

Skill
The success of a well-thought-out strategy is credited to a team of skilled members who worked meticulously on every step toward creating a well-planned strategy.

Style
Team leaders' management styles also influence the outcome of results. A good leader would maximize the efficiency of a skilled team, thus resulting in positive results.

Staff
The staff of an organization consists of employees. In this context, how they are recruited, trained, and motivated plays a big part.

Studies show that employees are more effective when in good spirits. Motivation plays a significant role. Also, welfare contributes to the high spirits of employees.

It improves their work efficiency, thereby effectively resulting in positive results.

Shared value
These are an organization's norms, values, and beliefs that guide staff behaviors, influence their decisions, and emphasize their actions and consequences.

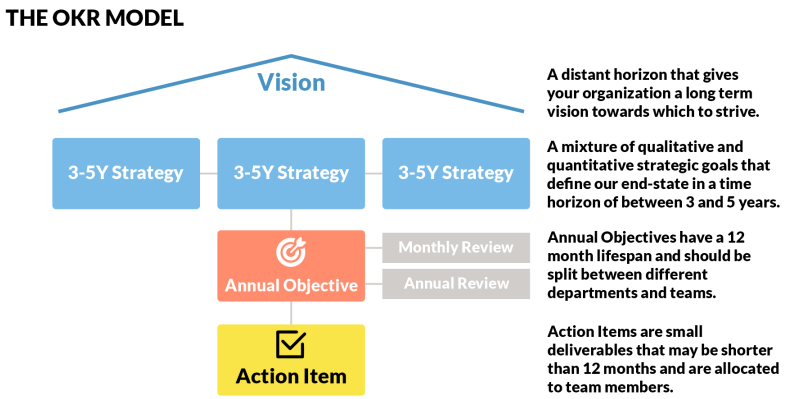
It's a guide that helps maintain and build an organization's

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reputation.

THE CASCADE MODEL

An excellent example of a good strategic model is the cascade model, one of the best strategic planning models available today.



The structural elements of the Cascade strategic model
Here is a list of the structural elements of the Cascade strategic model.

Identify your vision statement

The vision statement(s) delineate why the organization exists, what it stands for, and what it was created to achieve. It highlights the organization's primary purpose.

Define your company's values

Outline the organization's values, how you want it to behave, and how it's handled while striving towards its vision.

Craft your Focus Areas

These highlight key areas that require your focus and effort to

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aid in the delivery of your organization's vision.

Create your Objectives

These are the goals you have set and want to achieve within a given range of time.

Define your KPIs

Each of the objectives you've set for yourself should contain at least two or more KPIs (Key Performance Indicators) to keep tabs on your performance and measure if you're close to or far away from reaching your objectives.

Specify your Projects

This element is one of the most important in your strategic planning model. It states your exact course of action to deliver on your objectives.

The governance elements of the Cascade strategic model

Monthly Strategic Reports

This feature is only applicable to objectives. The organization's owner gives a detailed narrative of the overall progress toward the goals.

Project Updates

Project updates are ad hoc updates that are made against the plan's project level, including general updates and progress.

KPI Exceptions

KPI Exceptions are required when KPIs are outside of their tolerance level. It explains the difference between the estimated results of an objective being carried out and its decline from the goal while it's in motion. It dictates the action(s) to take to catch up to planned results.

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HOW TO CHOOSE THE RIGHT STRATEGIC PLANNING MODEL?

Strategic planning models are critical for planning strategies. It would help if you made the right decision while choosing a model to achieve your desired goal.

To select the appropriate model, you must ensure it comprises the core elements. Namely:

Structure: This defines how well and accurately the parts of the strategic plan are organized;
Framework: This method evaluates targets and objectives and classifies them in ways that align with what they want;
Governance: Defines how you direct, control, and preside over your strategies.

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STRATEGIC PLANNING TOOLS

These are tools that focus on and help to achieve long-term targets and objectives. These tools help organizations, individuals, and teams estimate and evaluate their long-term goals with clarity and precision.

WHAT ARE STRATEGIC PLANNING TOOLS?

Strategic planning tools are methods, approaches, and models used by various organizations, individuals, and teams to ascertain and estimate their current position. These tools stipulate relevant benchmarks, standards, and criteria to make their objectives and ideas successful. They also lay out plans, views, and targets for organizations looking for long-term achievements.

Some examples of strategic planning tools are:

- Balanced Scorecard;
- SWOT (Strengths, Weaknesses, Opportunities, and Threats) Analysis;
- PEST (Political, Economic, Sociocultural, and Technological) Analysis;

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- OKR (objectives and key results).

SWOT ANALYSIS

This type of analysis uses a simple and robust framework to analyze your organization. SWOT analysis helps to decide whether to embark on a specific business venture by visualizing the pros and cons.

It is essential to know that one part of an organization's strength might be another's weakness. For this reason, one may want to perform a different SWOT analysis for various departments rather than the business as a whole.

Organizations making use of SWOT analysis should endeavor to:

- Keep SWOT analysis accessible for reference;
- Update SWOT analysis regularly;
- Revise your SWOT analysis on a quarterly or yearly basis;
- It is harmful to allow SWOT analysis to stagnate.

The components of SWOT analysis are:

- Strengths
- Weaknesses
- Opportunities
- Threats

Organizations are studied using the SWOT analysis technique.

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Strengths

The organization's strengths are the areas where it excels and distinguishes itself.
Good examples of areas that could show strength are:

- Brand loyalty: Refers to how customers always prefer to patronize a particular brand. It may be due to emotional reasons or some form of relationship;
- Market share: The organization could have a significant customer ratio;
- Availability of required resources;
- Unique resources;
- Skilled workforce: Expertise compared to competitors;
- Technical infrastructure: High technical infrastructure compared to competitors;
- Location of the organization: The organization’s proximity to customers or its target market;

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- An innovative product or service.

Weaknesses
Every organization must know its weaknesses. These are factors that put you at a disadvantage compared to your competitors. Succinct examples of weaknesses are:

- High employee turnover: If employees are always leaving the organization regularly. Loss of expert staff means employment of new staff who need to be trained. Hence, with extra training costs, products suffer a reduction in quality due to less experience;
- Lack of expertise;
- Lack of adequate financing;
- Undifferentiated products or services (i.e., concerning their competitors);
- Location of business;
- Damaged reputation;
- Low-standard goods and services;
- Delayed product releases;
- Less market share.

Opportunities
Opportunities refer to external factors that give the organization an upper hand compared to its competitors. Some scenarios are:

- A developing market such as the internet: Incorporating the latest trends into your products to gain more customers and increase market share;

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- Consider mergers, joint ventures, or strategic alliances;
- New market segments that offer improved profits;
- A new international market;
- Look out for a market vacated by an ineffective competitor.

Threats
Threats are negative things that can harm the organization's execution and operations.
These are alerts the organization has to handle and address, primarily for its own existence.

Examples of these threats are:

- Price wars with competitors;
- A competitor has a new, innovative good or service (commodities);
- New entrants may lose market share;
- Competitors have superior access to channels of distribution;
- Taxation and tariffs;
- Supply shortage;
- Raw material prices;
- Market fluctuations;
- Government regulations;
- Public perception.

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HOW TO DO A SWOT ANALYSIS

The SWOT analysis can be segmented into various steps that show the detailed operation of the analysis. The steps include:

- Determine your objectives;
- Gather resources;
- Compile ideas;
- Refine findings;
- Develop the strategy.

Step 1: Determine Your Objective
SWOT analysis is most often extensive. However, additional utility is promised when the analysis is precise, i.e., when the objectives are specific. When precise objectives are given, there is a common goal. Uncertainty is terminated. All activities allocated to different departments are steering in the right direction.

Determining your objective is the foundation of a successful SWOT analysis. A lack of unified direction will result in inaccurate and misleading results and decisions.

Step 2: Gather Resources
SWOT analyses cannot be identical. The outcomes cannot be the same if the inputs are different.

The resources of finance, the surveying of markets, the factors that indicate performance, and articles should be analyzed. The organization must exploit all available information and data to foster accuracy and realistic outcomes. The organization has to find ways around its impediments to finding and gathering resources.

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The authenticity and legitimacy of external data and information sources are tantamount to a solid analysis. The staff or individuals involved in gathering resources should be assigned tasks based on their strengths and knowledge. A staff inclined toward the outer segments should be tasked with that area, as should the team with internal experience and expertise.

A wide range of factors is involved in achieving heterogeneous and exceptional inputs.

Step 3: Compile Ideas

This process involves recording, classifying, and summarizing the ideas. The staff responsible for this task should initiate categorizing the ideas. This categorization would support precision, clarity, and control.

Ingenuity and inventiveness cannot be overemphasized.

Internal Factors

These factors refer to how the organization conducts its affairs. The company's assets include departments like Human Resources, Accounting, Marketing, Production, Research, and IT. The organization should consider the performance of the earlier-mentioned departments and how it contributes to its advancements.

Under these factors are the strengths and weaknesses of the organization. The questions that relate to an organization's strengths and weaknesses include:

Strengths:

- What do we do exceptionally well?
- What advantages do we have?

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- What valuable assets and resources do we have?
- What do customers identify as our strengths?

These questions support critical success factors and give us a competitive advantage.

The organization should find ways to leverage and build on these strengths.

Weaknesses:

- What can we do better?
- What are the current customer complaints and criticisms?
- Where are we vulnerable?

These elements require a candid and detailed analysis.

External Factors

These elements are not within the organization. These elements are possible opportunities or threats to the organization.

Possible questions are:

Opportunities:

- What opportunities do we know about but still need to address?
- Are there emerging trends on which we can capitalize?

These questions help us pinpoint openings in the marketplace.

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Threats:

- Are our weaknesses likely to make us critically vulnerable?
- What external roadblocks exist that block our progress?
- Is there a significant change coming in our customers' sector?
- Are economic conditions affecting our financial viability?

Find and identify threats you can counteract based on your strengths and weaknesses.
Finding ways to lessen or eliminate them clears the way for smooth sailing.

Consider your strengths and weaknesses when accessing and acting on these threats.

Step 4: Refine Findings
At the point where the ideas have been compiled, the refining process begins. This stage refers to polishing or perfecting the ideas generated. It entails making relevant minor changes to upgrade the already-compiled ideas.

This stage makes it easier and more stress-free for the organization to select and concentrate on the pre-eminent ideas and those worth the risk.

This stage is prone to healthy arguments among the involved personnel. But this happens to achieve success.

Step 5: Develop the Strategy
The very end of the SWOT analysis must be recognized as a

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strategic plan. At this stage, the organization specifies its game plan and identifies its direction. The strategic plan may break the objectives into smaller goals and, eventually, projects and tasks.

Suppose the organization plans to enter a new market space or target a new market segment. In that case, it has to consider whether its strengths can propel it adequately in the new market.
If it does not, the organization is responsible for strategizing ways to make it possible.

BENEFITS OF SWOT ANALYSIS

- Assess potential risks — the dangers of running a business;
- Probability and impact of risks: If high, it requires immediate attention to arrest these risks;
- Develop risk management strategies: SWOT analysis provides a platform to manage these risks;
- It helps you evaluate your strengths and weaknesses against those of your customers and improves product quality and market share;
- Long-term business planning;
- The SWOT analysis technique supports the business analysis of stakeholders;
- To retain operational efficiency.

A SWOT analysis makes complex problems more manageable
There is the possibility of a wide range of data to scrutinize,

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as well as ideas to appraise when dealing with complex issues/problems. With the several steps of SWOT analysis taken, i.e., recording, analyzing, reviewing, and selecting ideas, these complex problems are split into more precise, clear, and understandable expositions.

A SWOT analysis requires external consideration
SWOT analysis helps serve as a reminder to organizations regarding the inconsideration of these eternal factors. Numerous external factors can impact the organization (profit, market share, and customer ratio). Ignoring external factors, regardless of their significance level, can be detrimental to the organization's progress.

The SWOT analysis heavily considers external factors and their relevance to the performance of an organization.

A SWOT analysis can be applied to almost every business question
The form of the subject involved does not matter. It applies to individuals, organizations, and also groups or teams.

SWOT analysis is a flexible strategic planning tool. The SWOT analysis can address business issues adequately.

A SWOT analysis leverages different data sources
When using SWOT analysis correctly and systematically, it eliminates bias. As far as research on the strengths and weaknesses of an organization goes, information obtained from internal sources is good. A business is best described by its internal information.

External information consists of factors outside the organization’s control. For an impartial and accurate compilation of data, external information is essential. SWOT analysis makes this possible.

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A SWOT analysis may not be overly costly to prepare
Most SWOT analysis reviews are not essentially specialized. Additional training costs and the prices of hiring professionals are not incurred. A centralized organization with working and departmentalized teams can harmoniously work it out.

SWOT ANALYSIS EXAMPLE

SWOT (Strengths, Weaknesses, Opportunities, and Threats), as the name implies, focuses on the inner workings of an organization and how it functions to develop an excellent strategic plan. SWOT analyzes an organization's internal and external factors concerning its future potential.

What type of businesses should use this?
Growing businesses are best suited for SWOT analysis. They are aware of the rapid and unexpected change of the modern era and any accidents that come with it. With this awareness, they can quickly change the game plan to work in their favor.

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PORTER'S FIVE FORCES

Porter's Five Forces are the fundamentals of analyzing an industry's weaknesses.



Understanding Porter's Five Forces

Porter's Five Forces is a model that's used to analyze the strong and weak points of an industry to determine corporate strategy. This application will help understand the industry's competition level and enhance a company's long-term profitability. Porter's five forces can be applied in any segment of the economy.

The Five Forces are often used to measure an industry's or market's competition intensity, attractiveness, and profitability. The Five Forces model is named after Harvard Business School professor Michael E. Porter, and they are as follows:

Competition in the Industry

The most important of the five forces is the number of competitors and their ability to undercut an organization. This force entails that the more competition there is with an equivalent amount of products to offer, the lesser the company's power.

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Potential of New Entrants Into an Industry

New entrants also reduce a company's power in its market. The less time and money spent by a new entrant to establish itself in a pre-existing company's market as a competitor, the weaker the ability of the pre-existing one.

An industry with concrete blockades to entry is ideal for existing companies, given that the company could charge higher prices and negotiate better terms.

Power of Suppliers

The next of the five forces is the power of suppliers. This force affects companies with a codependent relationship with suppliers who supply quality input.

Suppliers could quickly raise the prices of inputs because of the necessity of said inputs for the company. It is instead tasked with switching suppliers mid-demand, which suppliers capitalize on and fully understand.

Also, when suppliers are numerous, a company can keep its input costs low and enhance its profits due to the competition between suppliers.

Power of Customers

The ability to influence the cost of services rendered by a company also lies in the power of customers.

A company with a small circle of customers has no choice but to give in to customer demands or risk searching for new customers and markets. A company with a large client base will quickly charge high prices for services rendered.

The threat of Substitutes

The last of the five forces is the threat of substitutes. Companies that produce irreplaceable top-of-the-line

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products and render quality services will have the power to increase prices as they see fit.

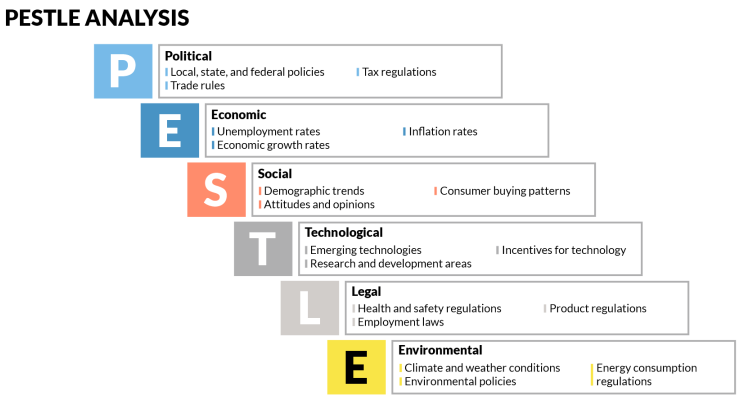
Companies with replaceable products and services risk losing customers who opt for a cheaper substitute. This shift in customer preference will reduce the company's estimated profits.

What Are Porter's Five Forces Used For?

The five forces model helps analysts and managers understand their competition and the company's position.

PESTLE ANALYSIS

PESTLE (Political, Economic, Social, Technological, Legal, and Environmental) analysis is a concept in marketing principles used by companies to scope out an environment. This environment is one they are operating or planning to launch a new project, product, or service.



Goals of a PEST analysis

The main goal of PEST analysis is to help an organization understand the external forces that can hinder its growth.

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PEST also helps understand how those forces could be capitalized on or cause problems for the organization. It helps managers understand external factors that influence the organization so they can work with facts rather than assumptions.

It helps identify what factors could change in the future. It also helps in the development of a long-term strategy.

PEST vs. SWOT analysis
The SWOT analysis examines both internal and external factors that affect the organization. The PEST analysis only examines external factors, giving the SWOT analysis an edge over it. PEST analysis is used in an organization after the failure of a SWOT analysis.

PEST is best used for a broader research analysis of the business environment.

When to do a PEST analysis
PEST analysis is best used to get a big-picture understanding of your business. A new organization uses a PEST analysis to understand the marketplace before entering it. PEST analysis is also carried out when changes are observed in the business environment.

HOW TO DO A PEST ANALYSIS

Conducting a PEST analysis is straightforward but time-consuming. Below are the steps involved:

Consider PEST factors that could impact your business
The first step is to research and gather as much information about your organization's external influences and how they affect your organization as soon as possible. Enlist the help of

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other leaders or managers in the business to ensure you have a comprehensive data set.

Factors Associated with PESTLE Analysis

As you start gathering data, consider the following list of PEST examples to guide your research:

Political factors in PESTLE Analysis

Political factors examine how legal and governmental regulations and the political climate affect your organization's freedom to operate and its ultimate profitability.

These factors might include the following:

- Upcoming local, state, or national elections;
- Primary political candidates and their views on different policies;
- Government regulation of industry or competition.

Economic factors in PESTLE Analysis

These factors examine the economic performance that directly affects the company and its lasting effects.

When there's an increase in inflation in any economy, companies will increase the price of products and services. That would affect the consumer's purchasing behavior, resulting in a decline in sales.

Social factors in PESTLE Analysis

These factors study the social environment of the market and scope determinants like cultural trends, demographics, and population analytics.

Technological factors in PESTLE Analysis

These factors relate to changes in technology that may affect

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the operations of the industry and the market favorably or unfavorably.

Legal factors in PESTLE Analysis

These factors have both external and internal sides. Some laws affect the business environment in a specific country, while companies maintain certain policies for themselves.

The legal analysis considers both perspectives and maps out strategies in light of these laws.
Environmental factors in PESTLE Analysis
These are factors that influence or are determined by the surrounding environment. This aspect of the PESTLE is crucial for specific industries, for example, tourism, farming, and agriculture.

Identify opportunities

After researching how your organization is influenced and affected by external conditions, identify opportunities these changes can provide. You could capitalize on these changes and work them in your favor.

Identify threats

Change comes with risks. Whether an economic downturn threatens your bottom line or a competitor's access to new technology gives them a competitive edge, you need to identify potential threats to your organization so that you can mitigate the risks and adapt your strategy accordingly.

Act on your findings

Act on all the data collected and the opportunities and threats highlighted. Instill these findings into your business plan to take advantage of opportunities and manage threats as soon as possible. It's the best time to strike.

What type of businesses should use this?

PEST analysis is better suited for a large, established

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business with significant resources. Conducting PEST analysis requires much work, so it's perfect for organizations with the funds and resources to carry out the analysis.

VISIONING

One of the essential resources used for strategic planning, visioning is a tool for goal-setting that helps your organization create a plan for the future.

You could start with a 5-year vision, identify necessary steps and checkpoints, and then create a strategic plan.

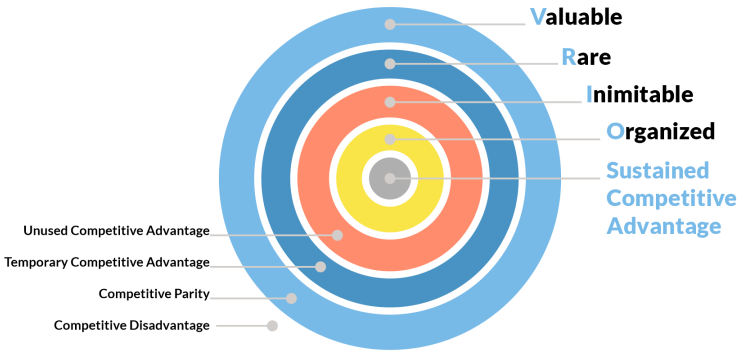
VRIO FRAMEWORK

The VRIO Framework is yet another tool used in strategic planning.
It helps an organization identify and utilize its competitive advantages in the long run.

The VRIO Framework gives an organization the needed insight to secure its unique capabilities that competitors cannot easily replicate.

Difference Between The VRIO Framework And A SWOT Analysis
VRIO is based on a 4-element framework according to its acronym: value, rarity, imitability, and organization.

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What Does it Mean?

Each element of the acronym VRIO seeks to answer a question that serves as one of the pillars of the strategic framework. By fitting the general question into the context of your organization, you can decide whether you meet up or not. You can also know whether you are at a competitive advantage or disadvantage.

Value

This question seeks to determine whether your offering provides value or not to your target market or your customer. If it does, you are at an advantage and can advance in your appraisal. If this is not the case, you must examine your resource or offering to determine how to create and project value.

Rarity

The rarity of your product directly impacts the level of competition you will have to brave in the market. It is ideal for offering a resource that is valuable yet rare.

Imitability

The advantage you may have in the market will only survive in the short run if another organization or competitor can easily recreate your product.

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You can shift attention to your organization and curate exclusivity if you offer a resource with few alternatives. Your competitors will not be able to copy, imitate, or duplicate your product.
This shift will make whatever advantage you have garnered more tangible and secure over a long period.

Organization

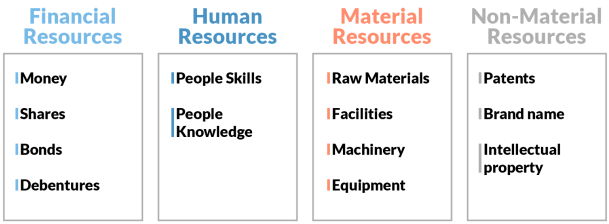
The last question is whether your organization has a structure to sustain its resources and competitive advantage or not.

You will need adequate systems that will enable you to exploit your organization's resources and protect them.

VRIO Analysis Example

To better understand the VRIO analysis, refer to the image below.

The first step is establishing your organization's resources, followed by grouping them into four categories depending on where they fit.



After that, further, subdivide each resource into any of the following:

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- Competitive rarity;
- Temporary competitive advantage;
- Unused competitive advantage;
- Long-term competitive advantage.

VRIO Analysis for a sustainable competitive advantage
Your organization has a sustainable competitive advantage if it checks out with all VRIO components. If it doesn't, you can use the insight gained from the VRIO analysis to adjust your resources to gain that competitive advantage.

Having established that, it goes without saying that the VRIO comes with good benefits. However, it also comes with its inherent limitations.

Benefits and limitations of the VRIO framework?
An obvious benefit of the VRIO framework is that it enables your organization to utilize new advantages. The VRIO framework also clears a path in the long run for you to exploit your resources better. The VRIO framework gives your organization the needed insight to facilitate a more potent business strategy.

However, the framework is only suited to some kinds of businesses (it is difficult to adapt for small and new businesses), and neither is it infallible. There are constantly changing patterns in the business environment, so the most you can hope for to sustain your advantage is a maximum of 5 years.

You would also need to support the VRIO analysis with other insights from the SWOT analysis. Doing this would give your organization a 360-degree view.

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CONCLUSION

Strategic planning, or the absence of it, can make or break your business. In the beginning, developing a structured plan might be a stressful undertaking. Over time, however, it would prove invaluable for your organization's market positioning. The structured plan would, in turn, help you serve your customers better, ultimately making you more money.

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